

I. What is Marketing? (An Overview)

Marketing is a field of study and practice that aims to understand, create, communicate, and deliver value to customers. While many people initially think of advertising and sales when they think of Marketing, this is an overly narrow conception of the goals and focus of the field. Instead, marketing is much broader than those two topics – its core focus is on understanding (and, potentially, shaping) current and potential future customer needs and developing the products and services that can best serve those needs.



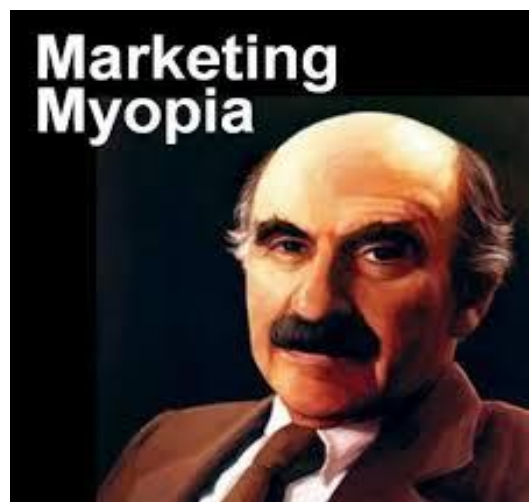
Some of the key areas of Marketing include:

- **market research:** discovering what customers value, desire, and need through direct and indirect investigation
- **market segmentation and targeting:** identifying meaningful customer groups and choosing which to serve
- **product development and positioning:** creating products/services that meet customer needs and stand out in the market
- **promotion and communication:** informing and persuading customers using advertising, social media, public relations, and more
- **distribution:** making products accessible, whether physically or digitally
- **pricing:** choosing prices that deliver value to customers and the firm
- **relationship-building:** cultivating lasting customer connections and loyalty
- **product development:** working with R&D to shape products for current and future customers
- **marketing strategy:** working with firm strategists to ensure that the firm's efforts to serve customers is incorporated into and consistent with the firm's overall strategy

II. Introducing Theodore Levitt

Theodore Levitt, a groundbreaking professor at Harvard Business School, transformed business thinking with his 1960 article, "Marketing Myopia," which first appeared in the 1960 April-May edition of the *Harvard Business Review*. Levitt challenged companies to see beyond their products and technology, urging them to focus on the fundamental needs of their customers. His insights still guide companies today as they confront rapid changes in markets, technology, and consumer behavior.

This reading introduces the field of marketing and Levitt's classic article, highlighting six key lessons and providing application-focused examples of each.



* The SM131 Faculty Team prepared this note with guidance from Carey Morewedge and the Questrom Marketing Faculty.

II. Marketing Myopia: A summary of key arguments & insights

This section provides an overview of the key arguments and insights of Theodore Levitt's classic 1960 article, "Marketing Myopia." His general perspective is that firms should expand their perspectives from a narrow focus on their current products and industry to a broader conception of customer needs.



II.1. Defining your business: look beyond your product

Levitt's first insight is that companies often fail by defining themselves too narrowly—according to the particular product they make or technology they use—rather than by the basic customer need their business serves. This is "marketing myopia," and its dangers are severe: when markets change or new forms of fulfilling the same need emerge, a company wedded to its product definition loses relevance.

Railroad companies in the early 20th century are Levitt's classic example. Their managers believed they were in the "railroad" business and focused on running trains and managing infrastructure. But their actual function was moving people and freight—the "transportation business." When cars, trucks, and airplanes began offering alternative ways to serve this need, railroads failed to adapt, resulting in diminished dominance and growth.¹

Levitt might argue that Kodak fell into a similar trap. For decades, Kodak was synonymous with photography, famous for its film and cameras. Some executives clung to the idea of being a "film company," even as digital technology matured and people's needs shifted toward easy, instant photo sharing. Other executives, however, saw the future and recognized the threat to the firm. As a result, Kodak invested heavily in R&D digital products. It invented a digital camera as early as 1975 and it developed a patent portfolio for digital image capture and related technologies that was the envy of the industry. Unfortunately, Kodak was unable to understand how digital images would reshape customer desires. Instead of wanting to print and hold images, customers wanted to display them and share them and their stories. Self-curated image repositories linked to personal narratives slowly but surely eroded the market for printed pictures. As smartphones and digital cameras became widespread and as social media sites, like Facebook and Instagram stole eyeballs away from printed images, Kodak's market and profits collapsed.²

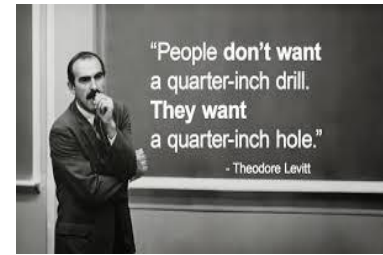
Levitt justifies this principle by highlighting that a focus on the broader function or customer need allows companies to see new opportunities and respond better to market disruption. Viewing your business from the customer's perspective and asking, "What problem am I solving?," is at the core of staying relevant as competition and technology evolve.

¹ Authors' Note: Although railroads are Levitt's classic example, industrial organization economists and strategy scholars may have a different interpretation here. Throughout the world, few if any railroads transitioned from providing rail transportation to providing freight and people movement via plane, car, or boat. Simply put, the stock of investments made by railroads were suitable only for rail traffic. As a result, it was more economically efficient for other firms to make investments in freight and human transportation by other means. Although the specific example is debatable, the general point remains valuable. Conceiving a product too narrowly can hamper a firm's ability to adjust to changing market conditions.

² Authors' Note: It is hard to fault Kodak for failing to realize that the top threats to its profitability were Facebook and Apple. Indeed, none of its rivals in any country made the transition to digital successfully, but it is conceivable that the firm could have joined the social media and consumer electronics revolutions had their understanding of the consumers' desires shifted.

II.2. Focus on customer needs

Levitt's second insight is that the ongoing success of any business depends on its ability to identify and satisfy the evolving needs and desires of its customers. Companies that limit themselves to pushing their existing products without continuous attention to what customers truly want will eventually falter.



Netflix exemplifies this customer-oriented approach. Originally a DVD rental service, Netflix noticed customers wanted convenience and speed. By switching to streaming and, later, original content, Netflix reflected customers' desires for instant access. Netflix's aggressive adaptation to customer behavior and feedback allowed it to disrupt the entire home entertainment industry, where previous players had focused solely on established formats.

Apple's development of the iPhone also illustrates this insight. Before the iPhone, most companies tried to improve phones or music players separately. Steve Jobs's key insight was that his operating system and emerging consumer electronics technology could enable his firm to develop a product that could handle calls, emails, music, photos, and internet browsing, all with a seamless interface based on the Apple Operating System. The iPhone's success stems from focusing on latent customer needs (and on the recognition of his firm's unique capabilities and assets, e.g., its own, proprietary operating system!) rather than technological constraints, transforming global expectations for personal electronics.

Spotify represents this principle in the music industry. Spotify saw that listeners were moving beyond purchasing albums or songs, wanting instead convenient and unlimited access to music, with personalization and the ability to share with others. It united this customer insight with the realization that emerging technologies would enable musical streaming and algorithms that could keep users happily listening to music longer. By pioneering on-demand streaming, curated playlists, and social sharing, Spotify reshaped music consumption and addressed listeners' deeper need for discovery and flexibility. Spotify's journey to profitability took nearly two decades, but its early customer insights enabled its longer-term success.

Levitt's justification is clear: If a company doesn't continually research, listen to, and match its offerings to customer preferences, someone else will. Customer needs change with technology, economic conditions, and cultural shifts, so a business must see itself as a solver of customer problems—constantly learning and evolving.

II.3. Growth depends on innovation and adaptation

Levitt argues that real business growth is achieved not by clinging to current success, but by innovating and adapting in response to changing circumstances, competition, and customer preferences. Growth requires moving beyond inertia and embracing new ideas, even if it means changing core business practices. Levitt's detailed justification is that change is relentless, and historic patterns of success offer no guarantee for the future. Companies must scan their environments for new opportunities, be bold in experimenting, and embrace risk. Adaptation is a continuous discipline, and only those who innovate can maintain or grow their market share in the face of disruption.

Henry Ford's experience as an automotive pioneer provides an illustrative example. In the early 1900s, automobiles were unreliable and extremely expensive. Ford came to the ingenious insight that standardization, specialization of labor (embodied in the moving assembly line), and economics of scale could drive down the cost of manufacturing automobiles to a point that his products could reach a mass market and drive up quality to the point that they were reliable enough to be desired by the mass market.

Introduced in 1908, Ford's Model T dominated the US automobile market until the early 1920s. In 1921, nearly 60% of all cars sold in the United States were Ford Model T's. Some of the principles that contributed to the Model T's rise, its standardization (Ford famously quipped, "[Customers] can have a car painted any color that [they] want, so long as it is black") and inflexibility also contributed to its demise. In 1924, General Motors introduced cars with varied models, colors, and features, eroding Ford's share and leading to its discontinuation in 1927. As customers sought variety, customization, and new features, Ford's reluctance to adapt allowed competitors like General Motors to capture significant market share. Ford eventually followed suit, but not before the firm faced a number of business crises rooted in its failure to adapt to a changing marketplace for cars.

One of the great failure stories of the last fifty years, Blockbuster once dominated the video rental market, with retail stores in nearly every American town in the 1980s and early 1990s. Blockbuster failed to adapt to the internet age, however, sticking to a physical rental store concept as customer expectations shifted toward instant and digital access. By contrast, Netflix identified the potential of high-speed internet to shift customers' home movie-watching preferences, first introducing an internet-drive DVD-by-mail and, subsequently, a streaming model, whose ability to deliver fast, personalized entertainment experiences ultimately drove Blockbuster to near extinction.

II.4. Avoid self-deception: do not ignore signs of change

Levitt's fourth insight is that companies are often blinded by their own past successes and vested interests, ignoring clear signs of major market or technological shifts. This self-deception, or complacency, frequently leads to loss of relevance or outright failure.

Convinced that the print reference book was an enduring necessity, Encyclopedia companies provide an example of this issue. When the internet and resources like Wikipedia emerged, encyclopedia publishers continued investing in new editions and aggressive sales, ignoring declining household purchases and the rapid growth of digital alternatives. Eventually, most had to abandon print or radically transform their business models.



Traditional taxi companies represent a contemporary example. Many believed regulations and local habits would insulate them from ride-share platforms like Uber and Lyft. However, customers flocked to app-based rides for reliable service, transparent pricing, and ease of payment, revealing a deep dissatisfaction with the old system. Only after losing substantial business did many taxi companies start updating service, developing their own apps, and revisiting customer experience.

Levitt's justification is stark: companies must develop courage and humility to question their assumptions, even when those assumptions have delivered past success. True vigilance means watching not only competitors and customers, but also shifts in technology, culture, and regulation—acting before threats become existential.

II.5. The firm's marketing approach should be pervasive

Levitt's fifth insight is that marketing should not be isolated within a sales or promotion department. Instead, it must embody the guiding philosophy of the entire organization. Real marketing must be consistent with product design, manufacturing, pricing, delivery, customer service, and even company culture, ensuring every activity is oriented toward creating customer value and that every effort at creating customer value is consistent with the firm's overall strategy. Levitt justifies this insight by

emphasizing that when every employee and department understands how their work affects customer perceptions and experiences, the result is a unified, differentiated, and resilient organization.

Amazon embodies this holistic orientation. Its “customer obsession” begins with personalized recommendations, continues through swift and reliable delivery options, and extends to ongoing support and transparent review systems. Crucially, Amazon integrates marketing thinking at every level, from IT to logistics and customer support, ensuring policies and procedures align with customer satisfaction.



This idea is consistent with one that we will encounter later in SM131, the idea that a firm’s Strategy helps provide overall guidance for all of the functions of the business. In order for a firm to maximize its potential for success, all functions must be coordinated. Strategy takes the principle role in determining the organization’s overall approach, but this must be coordinated closely with Marketing and all other organizational functions. Signals from Marketing are often essential in driving changes in Strategy tactics, as the Marketing function is the one closest to understanding current and future customer needs.

II.6. Embrace a broad view to avoid industry decline

Levitt’s final insight is that entire industries, not just individual companies, may suffer catastrophic decline if they resist expanding their definition and role in meeting customer needs. Industries that stay locked in their historic methods and offerings become vulnerable to technological, cultural, and competitive changes.

Horse-drawn carriage makers suffered with the rise of the automobile. Most makers tried to build better carriages, even as customers moved to automobiles for speed, reliability, and modernity. Those rare companies that reframed themselves as “transportation solution providers” and entered automobile production survived and thrived.

Newspapers repeated this pattern by clinging to print, even as news consumption moved to digital platforms, apps, and social media. Traditional publishers who invested early in digital formats, multimedia content, and new delivery models were able to transition, but many who held tightly to print suffered severe losses and, in some cases, closure.



Levitt’s fuller justification is that broad, adaptive vision protects organizations from becoming irrelevant or obsolete. When companies and industries understand they are serving fundamental human needs, they can meet those needs in new, more effective ways, seize fresh opportunities, and reposition themselves in fast-changing environments.

III. Concluding Words: Marketing Myopia’s Key Lessons and a Marketing Perspective

Levitt’s “Marketing Myopia” is a call for businesses to see themselves as dynamic solution providers rather than static product makers. By defining their mission around customer needs, constantly innovating and adapting, confronting self-deception, making marketing a company-wide mindset, and expanding their view to match evolving industries, companies and industries achieve relevance and resilience. For students and future leaders, Levitt’s lessons demand a commitment to curiosity, customer focus, and strategic flexibility—qualities essential for success in the ever-changing business world.

These lessons are valuable for Marketing overall: No function of business is more focused on understanding current and future customer needs or informing the organization about how to best adapt and serve those needs.